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CHAPTER 1

INITIAL PROVISIONS AND GENERAL DEFINITIONS

ARTICLE 1.1

Objectives

The objectives of this Agreement are to liberalise and facilitate trade and investment, as well as to promote a closer economic relationship between the Parties.

ARTICLE 1.2

Establishment of a free trade area

The Parties hereby establish a free trade area in conformity with Article XXIV of GATT 1994 and Article V of GATS.

ARTICLE 1.3

General definitions

For the purposes of this Agreement, and unless otherwise provided:

(a) "Agreement on Agriculture" means the Agreement on Agriculture in Annex 1A to the WTO Agreement;

(b) "agricultural good" means a product listed in Annex 1 to the Agreement on Agriculture;

(c) "Anti-dumping Agreement" means the Agreement on Implementation of Article VI of the General Agreement on Tariffs and Trade 1994 in Annex 1A to the WTO Agreement;

(d) "CPC" means the Provisional Central Product Classification (Statistical Papers Series M No.77, Department of International Economic and Social Affairs, Statistical Office of the United Nations, New York, 1991);

(e) "customs duty" means any duty or charge of any kind imposed on or in connection with the importation of a good, not including any:

- (i) charge equivalent to an internal tax imposed consistently with Article 2.4 (National Treatment on Internal Taxation and Regulation)] of Chapter 2 (National Treatment and Market Access for Goods);

- (ii) anti-dumping, special safeguard, countervailing or safeguard duty applied consistently with GATT 1994, the Anti-dumping Agreement, the Agreement on Agriculture, the SCM Agreement and the Safeguards Agreement, as appropriate; and

- (iii) fee or other charge imposed consistently with Article 2.7 (Fees and formalities] of Chapter 2 (National Treatment and Market Access for Goods);

(f) "Customs Valuation Agreement" means the Agreement on Implementation of Article VII of the General Agreement on Tariffs and Trade 1994 in Annex 1A to the WTO Agreement;

(g) "days" means calendar days, including weekends and holidays;

(h) "DSU" means the Understanding on Rules and Procedures Governing the Settlement of Disputes in Annex 2 to the WTO Agreement;

(i) "existing" means in effect on the date of entry into force of this Agreement;

(j) "GATS" means the General Agreement on Trade in Services in Annex 1B to the WTO Agreement;

(k) "GATT 1994" means the General Agreement on Tariffs and Trade 1994 in Annex 1A to the WTO Agreement;

(l) "good of a Party" means a domestic good as that is understood in GATT 1994, and includes originating goods of that Party;

(m) "Harmonized System" means the Harmonized Commodity Description and Coding System, including all legal notes and amendments thereto developed by the World Customs Organization (the "HS");

(n) "chapters" and "headings" and "sub-headings" mean the chapters, the headings (four digit codes) and sub-headings (six digit codes) used in the nomenclature which makes up the Harmonized System;

(o) "juridical person" means any legal entity duly constituted or otherwise organised under applicable law, whether for profit or otherwise, and whether privately owned or governmentally owned, including any corporation, trust, partnership, joint venture, sole proprietorship or association;

(p) "measure" means any measure by a Party, whether in the form of a law, regulation, rule, procedure, decision, administrative action, requirement, practice, or any other form;

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(q) "measure of a Party"¹ means any measure adopted or maintained by:

- (i) central, regional or local governments and authorities;
- (ii) non-governmental bodies in the exercise of powers delegated by central, regional or local governments or authorities; and
- iii) any entity which is acting on the instructions of or under the direction or the control of a Party with regard to the measure;

(r) "Member State" means a Member State of the European Union;

1. For greater certainty, "measure of a Party" includes omissions of a Party to take actions that are necessary to fulfil its obligations under this Agreement.

(s) "natural person of a Party" means for the European Union, a national of a Member State of the European Union², and for Indonesia, a national of Indonesia, in accordance with their respective applicable law;

(t) "originating" means qualifying as originating under the rules of origin set out in Chapter 3 (Rules of Origin and Origin Procedures);

(u) "Paris Agreement" means the Paris Agreement adopted by the Conference of the Parties to the United Nations Framework Convention on Climate Change, done at Paris on 12 December 2015;

(v) "person" means a natural person or a juridical person;

(w) "preferential tariff treatment" means the application of the customs duty under this Agreement to an originating good pursuant to Article 2.5 (Reduction or elimination of customs duties)] of Chapter 2 (National Treatment and Market Access for Goods)];

(x) "Safeguards Agreement" means the Agreement on Safeguards in Annex 1A to the WTO Agreement;

(y) "sanitary or phytosanitary measure" means any measure referred to in paragraph 1 of Annex A to the SPS Agreement;

(z) "SCM Agreement" means the Agreement on Subsidies and Countervailing Measures in Annex 1A to the WTO Agreement;

(aa) "service supplied in the exercise of governmental authority" means any service which is supplied neither on a commercial basis nor in competition with one or more service suppliers;

(bb) "service supplier" means a person that supplies or seeks to supply a service;

² For the purposes of the Investment Liberalisation and Trade in Services Chapter, the definition of natural person of a Party also includes a natural person permanently residing in the Republic of Latvia who is not a citizen of the Republic of Latvia or any other state but who is entitled, under the law of the Republic of Latvia, to receive a non-citizen's passport.

(cc) "SPS Agreement" means the Agreement on the Application of Sanitary and Phytosanitary Measures in Annex 1A to the WTO Agreement;

(dd) "TBT Agreement" means the Agreement on Technical Barriers to Trade in Annex 1 to the WTO Agreement;

(ee) "third country" means a country or territory outside the territorial scope of application of this Agreement, as set out in Article [X.9 (Territorial application)] of Chapter [X (Final Provisions)];

(ff) "TRIPS Agreement" means the Agreement on Trade-Related Aspects of Intellectual Property Rights in Annex 1C to the WTO Agreement;

(gg) "Vienna Convention on the Law of Treaties" means the Vienna Convention on the Law of Treaties done at Vienna on 23 May 1969;

(hh) "WTO" means the World Trade Organization; and

(ii) "WTO Agreement" means the Marrakesh Agreement Establishing the World Trade Organization, done at Marrakesh on 15 April 1994;